

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

**COMPLAINANTS' CROSS-MOTION FOR AN ORDER TO SHOW CAUSE AS TO
WHY THE COMMISSION SHOULD NOT SUSPEND ERIC CHANG, ESQ. AND
STEPHEN H. VENGROW, ESQ. FROM PRACTICING BEFORE THE COMMISSION
FOR A PERIOD OF NOT LESS THAN SIX MONTHS; AND RESPONSE TO MOTION
TO BE RELIEVED AS COUNSEL**

Pursuant to Rules 69 and 71 of the Federal Maritime Commission's (the "Commission") Rules of Practice and Procedure (46 C.F.R. 502 *et seq.*), Complainants, through their Counsel, Marcus A. Nussbaum, Esq. respectfully submit this Cross-Motion for an Order To Show Cause as to Why the Commission Should Not Suspend Eric Chang, Esq. and Stephen H. Vengrow, Esq. From Practicing Before The Commission For a Period of Not Less Than Six Months; and Response Chang and Vengrow's Motion to be Relieved as Counsel.

As to Chang and Vengrow's Motion to be Relieved as Counsel, the undersigned cannot say that we are saddened as to counsel's departure from this and other matters where they represent their clients.

Complainants' counsel did not attend law school and become a member of the bar for the purpose of taking away another attorney's livelihood. As an Officer of the Court, however, complainants' counsel has been compelled to cast aside personal beliefs in favor of 'doing what is right'. Having suffered to endure conduct and behavior on the part of respondents' counsel, Eric Chang and Stephen Vengrow which has progressed from what could arguably be construed as

zealous advocacy for their clients to perjury and fraud upon the Court and the Commission, complainants' counsel is further compelled to engage in the distasteful process of seeking an Order from the Commission suspending Chang and Vengrow from practicing before the Commission for a period of not less than six (6) months or such time period as the Commission may deem just and appropriate, so that they may be given to understand the sacrosanct nature of these proceedings, and be compelled to refrain from future attempts to engage in the same bad faith behavior.

Certainly, ten pages are *grossly* inadequate to catalogue Chang's and Vengrow's acts of deceitful practice - - nor would one-hundred pages be adequate for this purpose. Consequently, complainants' counsel will address the most egregious examples of same, as well as to expose respondents' counsel's grossly unprofessional and unethical conduct and behavior deserving of suspension of their privileges to practice before the Commission.

The Commission may recall that this action was initiated by complainants against respondents arising out of the shipment of two boats (to wit: a 2011 Monterey 204 and a 2008 Chaparral 190 SSI), and the failed shipment of a third boat (a 2010 Formula 34 PC) which were delivered to respondents' warehouse facility. In this action, it is alleged that respondent, Solovyev via his companies Marine Transport Logistic Inc. ("MTL") and Royal Finance Group Inc. ("RFG") violated the Shipping Act by, *inter alia* overcharging Third-Party plaintiffs herein for services related to MTL's ocean transport and/or storage of the three boats; and by deliberately failing to perform their statutory duties as a duly licensed ocean transport intermediary ("OTI"). With specific regard to the Formula, it is alleged that Solovyev deliberately failed in his duty to procure a suitable boat trailer for the ocean transport of the Formula, and that he did this as a contrivance for keeping the Formula in his physical possession at MTL's warehouse.

The Commission may also be aware that there is a lawsuit ongoing in the U.S. District Court for the District of New Jersey, captioned as *World Express & Connection, Inc. v. Crocus Investments, LLC et al.* - - U.S.D.C. – D.N.J., 2:15-cv-08126-KM-MAH, wherein respondents

MTL, Solovyev and RFG have been joined as third-party defendants¹. That action involves the same three subject boats, and complainants herein (as third-party plaintiffs in that action) have alleged a third-party cause of action against MTL, Solovyev, RFG and others for fraud involving the boats, as well as two automobiles, to wit: a Mercedes and Porsche. In that action, it is alleged that during the course of the transport of the Monterey and Chaparral to Dubai and back to the U.S., Solovyev offered to enter into a business venture with third-party plaintiffs Crocus Investments, LLC, Crocus, FZE and Middle East Asia Alfa FZE, whereby Solovyev would export, via MTL, a Porsche and a Mercedes (allegedly owned by Solovyev) to a warehouse facility in Dubai which was under the control of complainants herein. It was agreed that complainants would undertake to receive, unload and repair the cars, pay all requisite customs duties and other expenses, and ultimately sell the cars in Dubai, at which time Solovyev and complainants would split the profit.

Unbeknownst to complainants herein, the Mercedes and Porsche are the subject of two more legal actions (one of which is before the Commission) involving Solovyev, MTL, RFG and others. As explained in complainant's first and second Petitions to Reopen the Proceedings herein (Documents 38 and 50), those matters are: *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* – U.S.D.C. – E.D.N.Y. Docket No. 1:13-cv-07110-SLT-RLM before the Honorable Judge Sandra L. Townes, and *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* - FMC Docket No. 16-16. In all cases, Messrs. Vengrow and Chang are counsel for MTL, RFG, and Solovyev. In the Federal litigation ongoing in the Eastern District of New York, Vengrow and Chang also represent Dmitry Alper, the former Director of Operations and General Counsel for MTL. As of the time of this writing, Vengrow and Chang have not moved to be relieved as counsel in the Eastern District of New York matter.

¹ Messrs. Vengrow and Chang have also moved to be relieved as counsel in that matter as well, and also in FMC Docket No.: 16-16.

Duplicious representations made by Vengrow and Chang to the Commission and to the Federal Court regarding the nature of a wire transfer allegedly related to the Mercedes have been the subject of extensive briefing to the Commission. See, Complainants' Brief in Support of Exceptions, dated February 8, 2017 (Document # 20 in FMC Docket No.: 16-16) in the matter of MAVL, *supra*, at p. 27. In the Federal matter currently before Judge Townes, respondents claim to have sold the Mercedes (owned by MAVL) in order to recover "outstanding debts" allegedly owed by MAVL to MTL and claim to have asserted a lien upon the Mercedes for "prior debts" pursuant to clause "15" of MTL's Bill of Lading (See, Appendix "16" to Complainants' Exceptions in FMC Docket No.: 16-16, pp. 2; 17-18).

Respondents specifically claimed to have sold the Mercedes to Middle East Asia Alfa FZE ("MEAA") for \$3500 via wire transfer paid by MEAA to respondents (in the total amount of \$4950.00 which included monies unrelated to the Mercedes), a claim denied by MEAA's President, Alexander Safonov in a sworn certification (the "Safonov Certification") previously provided to the Presiding Officer, a copy of which is annexed as Appendix "18" to Complainants' Exceptions in FMC Docket No.: 16-16). At the very same time, the respondents have in the instant matter claimed that the \$3500.00 paid by MEAA was for the purchase of a "boat trailer" (see, Respondents' Proposed Findings of Fact, and Response To Complainants' Proposed Findings of Fact from the instant matter, [Document 13], at p. 6).

The representations regarding the alleged sale of the Mercedes to MEAA for \$3500.00 were made directly by Vengrow and Chang to the undersigned (by email of February 23, 2015 attached to the Safonov Certification) during the course of the MAVL litigation in the Eastern District of New York as follows:

"The bank statement showing payment for this transaction is for \$4,950, which includes payment of the \$3,500 for the Mercedes SL65 and \$1,450 toward an motorcycle purchase unrelated to this case. The bank statement has been redacted for all other transactions."

Their duplicitous statements have led to multiple motions being filed in the Eastern District of New York, and there is currently a Rule 60 motion pending before Judge Townes, wherein the undersigned seeks to reopen discovery in that matter, amend the complaint to add complainants herein as plaintiffs together with MAVL and others, and to proceed with a cause of action under the RICO statute. Shockingly, and when confronted with their duplicitous statements, the position of Mr. Vengrow and Mr. Chang has been, and remains “so what”.

By their conduct, Vengrow and Chang have ‘gamed’ the Commission and the Presiding Officer who has issued an Initial Decision based upon false information which now appears to have been created and provided by them without the involvement of their clients. With regard the wire transfer, the Commission is respectfully referred to Exhibit “A” of the Safonov Certification, which contains a copy of a bank statement marked as “Page 011”, and which contains the handwritten notation “Middle East Asia” next to a wire transfer of \$4950.00. When questioned about the handwritten notation during his recent deposition in the matter of World Express, supra, MTL’s former Director of Operations and General Counsel Dmitry Alper stated that he did not recognize the handwriting. Mr. Alper’s testimony therefore begs the ultimate question as to who altered that piece of evidence with a handwritten notation – Mr. Chang or Mr. Vengrow?

During the course of litigation and depositions in the matter of World Express, supra, other representations made by Vengrow and Chang to this Commission have also apparently been made without the involvement of their clients, such as the nature of the relationship between the corporate respondents herein and Solovyev (who through his counsel denies being an officer or employee at MTL). According to Mr. Alper’s testimony, Solovyev is a principal of MTL with decision making authority and that Solovyev, his wife Alla Solovyeva and MTL, and RFG are “one big happy family”. Additionally, Mr. Chang personally represented to this Commission in a filing made on the docket on October 10, 2017 that Solovyev was the “President” of World Express, a claim which was also subsequently found to be untrue during the deposition of World

Express' President and sole shareholder Raya Bakhirev. (See, Respondents Reply to Complainants' Second Petition to Reopen Proceedings and Appendix FMC Docket 15-04, Document 53). Mr. Chang was present at this deposition and after hearing Bakhirev's testimony, he failed to come forward to this Commission and correct the inaccuracy of his statements.

Mr. Alper also explained during his deposition that he personally notarized the Vessel Bills of Sale pursuant to which MTL sold the subject Monterey and Chaparral to complainants herein (signed by Solovyev in his capacity as "General Manager" of MTL) – as the Commission may recall, Chang and Vengrow have disputed the authenticity of the Vessel Bills of Sale, specifically stating to this Commission that they were created by complainants herein for other purposes. Chang and Vengrow still represent Alper in the Eastern District of New York who is the same person that notarized the Vessel Bills of Sale. It is telling that they still continue to maintain this frivolous position (in stark and marked contrast to Alper's testimony) and it is of no surprise that after having been exposed for their false representations of fact, counsel have failed to come forward in an effort to correct the record - - their silence speaks volumes.

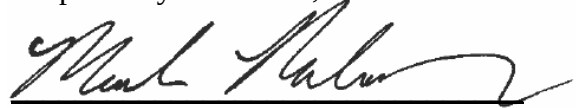
Suffice it to say, there exists a set of "alternate facts" regarding respondents' fraudulent conduct (now proven to be true) which have been outlined in detail in complainants Exceptions and their Second Petition to Reopen the Proceedings herein. Said facts were previously within the exclusive knowledge and possession of respondents and their counsel Vengrow and Chang, however, the particular fraud described above, along with *all* other fraudulent conduct and behavior in this case and others, rests squarely with Vengrow/Chang. Accordingly, the Commission is now asked to issue an Order to Show Cause.

WHEREFORE, and based upon the foregoing, it is respectfully submitted that the Commission grant complainants' Cross-Motion For An Order To Show Cause As To Why The Commission Should Not Suspend Eric Chang, Esq. and Stephen Vengrow, Esq. From Practicing

Before The Commission For A Period Of Not Less Than Six Months, together with such other and further relief as the Commission may deem just and proper under the circumstances.

Dated: March 1, 2018
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

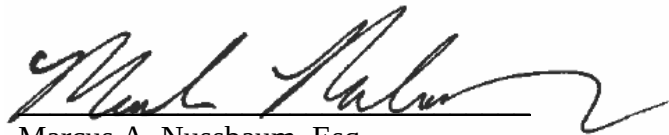
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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' CROSS-MOTION FOR AN ORDER TO SHOW CAUSE AS TO WHY THE COMMISSION SHOULD NOT SUSPEND ERIC CHANG, ESQ. AND STEPHEN H. VENGROW, ESQ. FROM PRACTICING BEFORE THE COMMISSION FOR A PERIOD OF NOT LESS THAN SIX MONTHS; AND RESPONSE TO MOTION TO BE RELIEVED AS COUNSEL** upon Respondents' Counsel at the following address:

Montgomery, McCracken, Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022
Attn: Stephen H. Vengrow, Esq.
Attn: Eric Chang, Esq.

by first class mail, postage prepaid, and by email (echang@mmwr.com and svengrow@mmwr.com).

A handwritten signature in black ink, appearing to read 'Marcus A. Nussbaum', is written over a horizontal line.

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Dated: March 1, 2018 in Brooklyn, New York.